

August 4, 2026

Editors
The Review of Economics and Statistics

Dear Editors,

I am submitting “Regulatory Discretion and Housing Supply: Evidence from Chicago’s Aldermanic Privilege” for consideration as a Short Paper in *The Review of Economics and Statistics*.

The paper studies how informal regulatory discretion can affect housing supply and affordability beyond formal zoning rules, using Chicago’s institution of aldermanic privilege as the empirical setting. I use permit processing times to construct a measure of regulatory stringency for Chicago aldermen and combine two research designs. An event study uses the 2015 ward remap to compare blocks assigned to more and less stringent aldermen. Boundary-discontinuity designs compare development and housing prices immediately across ward borders.

Assignment to a more stringent alderman lowers high-discretion permitting activity by 12 percent. Multifamily projects built on the more-stringent side of a ward boundary are 14–18 percent less dense. I also find suggestive evidence of higher rents and home prices. Together, the results show how informal political authority can affect housing supply even where the written rules are similar.

I am submitting this as a short paper because its central contribution can be stated concisely, and the findings speak to an active debate over aldermanic privilege reform in Chicago.

The manuscript is original, has not been published, and is not under consideration elsewhere. It is submitted under the journal’s Short Paper policy.

Thank you for your consideration.

Sincerely,

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